

thinking about stocks, and I don't understand it yet. Every time I go over there to study the situation, I conclude that all the stocks are grossly overpriced, but they keep going higher, anyway.

Nowadays the change in trading hours makes it harder to pay attention to fundamentals and keep your eye off the Quotron. For eighty years until 1952 the New York Stock Exchange opened at 10 A.M. and closed at 3 P.M., giving the newspapers time to print up the results for the afternoon editions so investors could check their stocks on the ride home. In 1952, Saturday trading was eliminated, but the daily closing hour was advanced to 3:30, and in 1985, the opening hour was moved to 9:30, and now the market closes at 4:00. Personally, I'd prefer a much shorter market. It would give us all more time to devote to analyzing companies, or even to visiting museums, both of which are more useful than watching stock prices go up and down.

Institutions have emerged from their minor role in the 1960s to dominate the stock market in the 1980s.

The legal status of major brokerage firms has changed from partnerships, where the individuals' personal wealth was on the line, to corporations, where the individual liability is limited. Theoretically this was supposed to strengthen the brokerage firms, since as corporations they could raise capital by selling stock to the public. I'm convinced it has been a net negative.

The rise of the over-the-counter exchange has brought thousands of secondary issues that were once traded by the obscure "pink sheet" method—where you never knew if you were getting a fair price—into a reliable and efficient computerized marketplace.

The nation is preoccupied with up-to-the-minute financial news, which twenty years ago was scarcely mentioned on television. The incredible success of *Wall Street Week*, with Louis Rukeyser, from its debut on November 20, 1970, has proven that a financial news show can actually be popular. It was Rukeyser's achievement that inspired the regular networks to expand their financial coverage, and that in turn led to the establishment of the Financial News Network, which has brought the ticker tape into millions of American homes. Amateur investors can now check their holdings all day. All that separates Houndstooth from the professional trader is a 15-minute tape delay.

The boom and then bust in tax shelters: farm land, oil wells, oil rigs, barges, low-rent housing syndicates, graveyards, movie productions, shopping centers, sports teams, computer leasing, and almost anything else that can be bought, financed, or rented.

The emergence of merger and acquisition groups, and other buyout groups, that are willing and able to finance \$20-billion purchases. Between the domestic buyout groups (Kohlberg, Kravis, and Roberts; Kelso; Coniston Partners;